SOLVED PRACTICE WORKBOOK

Balance of Payments, Exchange Rates and Forex Reserves - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH

CONCEPT
Define precisely

ARGUMENT
Build the case

CRITIQUE
Test the limits

APPLICATION
Write the answer

Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Balance of Payments, Exchange Rates and Forex Reserves - Solved Practice Workbook

Exactly 32 original questions appear before PYQs. Correct answers rotate A -> B -> C -> D eight times.

BASIC MCQS / REMEDIATION

MCQ 1

BoP residence is primarily determined by:

A. Centre of predominant economic interest B. Citizenship C. Currency used D. Place of passport issue

Answer: A.

Option-wise explanation:

- **A - Correct:** The BoP manual uses economic interest and territory as the residence test. Option text: Centre of predominant economic interest
- **B - Incorrect:** Citizenship alone does not determine BoP residence. Option text: Citizenship
- **C - Incorrect:** Currency denomination does not determine residence. Option text: Currency used
- **D - Incorrect:** Passport administration is not the statistical test. Option text: Place of passport issue

Examiner trap 1: Fix residence and account before interpreting the flow. Focus: bop residence is primarily determined by.

MCQ 2

Which entry is normally a BoP credit?

A. An increase in residents' foreign assets B. An export of software services C. An import of machinery D. A reduction in foreign liabilities

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Acquiring a foreign asset is a debit. Option text: An increase in residents' foreign assets
- **B - Correct:** A service export creates a current-account credit. Option text: An export of software services
- **C - Incorrect:** A goods import is a debit. Option text: An import of machinery
- **D - Incorrect:** Reducing a liability is a debit in financial-account sign logic. Option text: A reduction in foreign liabilities

Examiner trap 2: Preserve sign conventions and the exact statistical category. Focus: which entry is normally a bop credit.

MCQ 3

Which set exhausts the BPM6 current-account headings?

A. Goods, FDI, loans, reserves B. Goods, capital transfers, FPI, SDR allocation C. Goods, services, primary income, secondary income D. Services, derivatives, deposits, errors and omissions

Answer: C.

Option-wise explanation:

- **A - Incorrect:** FDI, loans and reserves are financial-account items. Option text: Goods, FDI, loans, reserves
- **B - Incorrect:** Capital transfers and FPI do not belong to the current account. Option text: Goods, capital transfers, FPI, SDR allocation
- **C - Correct:** These are the four BPM6 current-account components. Option text: Goods, services, primary income, secondary income

- **D - Incorrect:** Derivatives and deposits are financial claims, while errors are balancing entries. Option text: Services, derivatives, deposits, errors and omissions

Examiner trap 3: Do not turn a dated value into a permanent threshold. Focus: which set exhausts the bpm6 current-account headings.

MCQ 4

Personal transfers from Indians employed overseas are mainly recorded under:

A. Goods B. Services C. Primary income D. Secondary income

Answer: D.

Option-wise explanation:

- **A - Incorrect:** No merchandise ownership changes through the transfer. Option text: Goods
- **B - Incorrect:** The transfer is not payment for a current service. Option text: Services
- **C - Incorrect:** Investment income and compensation are primary income. Option text: Primary income
- **D - Correct:** Personal transfers are current transfers under secondary income. Option text: Secondary income

Examiner trap 4: Separate market movement, official action and balance-sheet effect. Focus: personal transfers from indians employed overseas are mainly recorded under.

MCQ 5

The narrow BPM6 capital account principally contains:

A. Capital transfers and non-produced non-financial assets B. FDI and portfolio equity C. Loans and deposits D. Reserve assets and derivatives

Answer: A.

Option-wise explanation:

- **A - Correct:** This is the modern narrow capital-account perimeter. Option text: Capital transfers and non-produced non-financial assets
- **B - Incorrect:** These are direct and portfolio categories in the financial account. Option text: FDI and portfolio equity
- **C - Incorrect:** Loans and deposits are other investment. Option text: Loans and deposits
- **D - Incorrect:** Both belong to financial-account categories. Option text: Reserve assets and derivatives

Examiner trap 5: Fix residence and account before interpreting the flow. Focus: the narrow bpm6 capital account principally contains.

MCQ 6

Under BPM6, reserve-asset transactions appear in the:

A. Current account B. Financial account C. Capital account only D. Errors and omissions

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Current account records goods, services and income. Option text: Current account
- **B - Correct:** Reserve assets are a functional financial-account category. Option text: Financial account
- **C - Incorrect:** The narrow capital account excludes reserve assets. Option text: Capital account only
- **D - Incorrect:** Errors and omissions reconcile data gaps rather than classify reserves. Option text: Errors and omissions

Examiner trap 6: Preserve sign conventions and the exact statistical category. Focus: under bpm6, reserve-asset transactions appear in the.

MCQ 7

A merchandise trade deficit differs from a current-account deficit because the latter also includes:

A. Only FDI B. Only reserve changes C. Services and primary and secondary income D. Only government borrowing

Answer: C.

Option-wise explanation:

- **A - Incorrect:** FDI is financial-account financing. Option text: Only FDI
- **B - Incorrect:** Reserve changes are financial-account transactions. Option text: Only reserve changes
- **C - Correct:** These flows explain why the two balances can differ sharply. Option text: Services and primary and secondary income
- **D - Incorrect:** Government borrowing is only one possible financial flow. Option text: Only government borrowing

Examiner trap 7: Do not turn a dated value into a permanent threshold. Focus: a merchandise trade deficit differs from a current-account deficit because the latter also includes.

MCQ 8

A CAD is necessarily matched by some combination of:

A. Gold production and tax revenue B. Only FDI C. Only external debt D. Net financial flows, reserve use and statistical adjustment

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Domestic production and taxes do not complete the external identity. Option text: Gold production and tax revenue
- **B - Incorrect:** FDI is one financing source, not the only one. Option text: Only FDI
- **C - Incorrect:** Debt can finance a deficit but is not compulsory. Option text: Only external debt
- **D - Correct:** This preserves the complete accounting counterpart. Option text: Net financial flows, reserve use and statistical adjustment

Examiner trap 8: Separate market movement, official action and balance-sheet effect. Focus: a cad is necessarily matched by some combination of.

MCQ 9

If the quote rises from 85 to 90 INR per USD:

A. The rupee depreciates against the dollar B. The rupee appreciates against the dollar C. The dollar depreciates against the rupee D. No bilateral movement occurs

Answer: A.

Option-wise explanation:

- **A - Correct:** More rupees are required for one dollar. Option text: The rupee depreciates against the dollar
- **B - Incorrect:** Appreciation would lower INR per USD. Option text: The rupee appreciates against the dollar
- **C - Incorrect:** The dollar has strengthened in this quote. Option text: The dollar depreciates against the rupee
- **D - Incorrect:** The numerical change directly records a bilateral movement. Option text: No bilateral movement occurs

Examiner trap 9: Fix residence and account before interpreting the flow. Focus: if the quote rises from 85 to 90 inr per usd.

MCQ 10

Which distinction is correct?

A. Depreciation is always official B. Devaluation changes an official parity; depreciation is a market movement C. Revaluation means market strengthening D. Appreciation requires a fixed peg

Answer: B.

Option-wise explanation:

- **A - Incorrect:** Market weakening is depreciation. Option text: Depreciation is always official
- **B - Correct:** This matches regime-specific vocabulary. Option text: Devaluation changes an official parity; depreciation is a market movement
- **C - Incorrect:** Official upward parity change is revaluation. Option text: Revaluation means market strengthening
- **D - Incorrect:** Market currencies can appreciate without a peg. Option text: Appreciation requires a fixed peg

Examiner trap 10: Preserve sign conventions and the exact statistical category. Focus: which distinction is correct.

MCQ 11

A real exchange-rate measure differs from a nominal rate by incorporating:

A. Only reserve holdings B. Only interest rates C. Relative prices or costs D. Only trade volumes

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Reserve stocks are not the price adjustment. Option text: Only reserve holdings
- **B - Incorrect:** Interest differentials can affect flows but do not define the real rate. Option text: Only interest rates
- **C - Correct:** Relative price adjustment converts nominal into real terms. Option text: Relative prices or costs
- **D - Incorrect:** Trade volumes can supply weights but do not alone create a real rate. Option text: Only trade volumes

Examiner trap 11: Do not turn a dated value into a permanent threshold. Focus: a real exchange-rate measure differs from a nominal rate by incorporating.

MCQ 12

Which statement about RBI's NEER and REER is correct?

A. Both are bilateral USD rates B. Both exclude trade weights C. REER never uses price indices D. They are basket indices; REER adds a relative-price adjustment

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Effective rates aggregate multiple currencies. Option text: Both are bilateral USD rates
- **B - Incorrect:** Trade weights are central to the effective index. Option text: Both exclude trade weights
- **C - Incorrect:** REER requires a price or cost adjustment. Option text: REER never uses price indices
- **D - Correct:** This states the nominal-real basket distinction. Option text: They are basket indices; REER adds a relative-price adjustment

Examiner trap 12: Separate market movement, official action and balance-sheet effect. Focus: which statement about rbi's neer and reer is correct.

MCQ 13

RBI's stated exchange-rate policy on 8 April 2026 was to:

A. Smooth excessive volatility without a specific level or band B. Defend a permanent rupee-dollar parity C. Allow no intervention D. Target the REER at exactly 100

Answer: A.

Option-wise explanation:

- **A - Correct:** This reproduces the dated operational statement. Option text: Smooth excessive volatility without a specific level or band
- **B - Incorrect:** No permanent parity was announced. Option text: Defend a permanent rupee-dollar parity
- **C - Incorrect:** RBI explicitly retains intervention operations. Option text: Allow no intervention
- **D - Incorrect:** The base value of an index is not an exchange-rate target. Option text: Target the REER at exactly 100

Examiner trap 13: Fix residence and account before interpreting the flow. Focus: rbi's stated exchange-rate policy on 8 april 2026 was to.

MCQ 14

An RBI sale of dollars in the spot market normally:

A. Injects rupee liquidity B. Supplies dollars and absorbs rupees C. Raises gold reserves automatically D. Creates a current-account credit

Answer: B.

Option-wise explanation:

- **A - Incorrect:** A dollar purchase, not sale, normally injects rupees. Option text: Injects rupee liquidity
- **B - Correct:** The counterpart payment withdraws domestic currency. Option text: Supplies dollars and absorbs rupees
- **C - Incorrect:** Gold is a separate reserve component. Option text: Raises gold reserves automatically
- **D - Incorrect:** Intervention is a financial-account operation. Option text: Creates a current-account credit

Examiner trap 14: Preserve sign conventions and the exact statistical category. Focus: an rbi sale of dollars in the spot market normally.

MCQ 15

Sterilisation means:

A. Fixing the exchange rate permanently B. Writing off valuation losses C. Offsetting the domestic-liquidity effect of intervention D. Converting SDRs into fiscal revenue

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Sterilisation does not promise a permanent parity. Option text: Fixing the exchange rate permanently
- **B - Incorrect:** Valuation accounting is separate. Option text: Writing off valuation losses
- **C - Correct:** Liquidity operations neutralise the monetary impulse. Option text: Offsetting the domestic-liquidity effect of intervention
- **D - Incorrect:** SDRs remain reserve assets, not ordinary revenue. Option text: Converting SDRs into fiscal revenue

Examiner trap 15: Do not turn a dated value into a permanent threshold. Focus: sterilisation means.

MCQ 16

RBI's Q1 FY2026-27 reserve-release distinction shows that:

A. Valuation changes are always zero B. Weekly reserves equal BoP flows C. Gold changes are current-account transactions D. BoP-basis change can differ from nominal stock change because of valuation

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Exchange and gold-price movements create valuation effects. Option text: Valuation changes are always zero
- **B - Incorrect:** A weekly stock includes transactions and valuation. Option text: Weekly reserves equal BoP flows
- **C - Incorrect:** Gold revaluation is not a current-account flow. Option text: Gold changes are current-account transactions
- **D - Correct:** This is why USD 8.1 billion and USD 22.5 billion differed. Option text: BoP-basis change can differ from nominal stock change because of valuation

Examiner trap 16: Separate market movement, official action and balance-sheet effect. Focus: rbi's q1 fy2026-27 reserve-release distinction shows that.

MCQ 17

Which is a component of India's official forex reserves?

A. Foreign currency assets B. Private firms' export receivables C. All NRI bank deposits D. All government foreign borrowing

Answer: A.

Option-wise explanation:

- **A - Correct:** FCA is the largest published reserve component. Option text: Foreign currency assets
- **B - Incorrect:** Private receivables are not monetary-authority reserves. Option text: Private firms' export receivables
- **C - Incorrect:** NRI deposits are bank liabilities and external debt. Option text: All NRI bank deposits
- **D - Incorrect:** Borrowing is a liability, not automatically a reserve asset. Option text: All government foreign borrowing

Examiner trap 17: Fix residence and account before interpreting the flow. Focus: which is a component of india's official forex reserves.

MCQ 18

An SDR is best described as:

A. A private cryptocurrency B. An IMF-created international reserve asset C. A gold-backed national currency D. A commercial bank deposit

Answer: B.

Option-wise explanation:

- **A - Incorrect:** SDRs are official, not privately mined assets. Option text: A private cryptocurrency
- **B - Correct:** The IMF allocates SDRs to members. Option text: An IMF-created international reserve asset
- **C - Incorrect:** The value is basket-based, not a gold parity. Option text: A gold-backed national currency
- **D - Incorrect:** SDR holdings are distinct from ordinary deposits. Option text: A commercial bank deposit

Examiner trap 18: Preserve sign conventions and the exact statistical category. Focus: an sdr is best described as.

MCQ 19

Which is the strongest reserve-adequacy approach?

A. Use the absolute dollar stock alone B. Use import cover alone C. Combine imports, debt maturity, financing needs and stress tests D. Compare reserves only with fiscal deficit

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Absolute size ignores obligations. Option text: Use the absolute dollar stock alone
- **B - Incorrect:** Import cover omits capital-flow and maturity shocks. Option text: Use import cover alone
- **C - Correct:** A dashboard captures multiple external-payment risks. Option text: Combine imports, debt maturity, financing needs and stress tests
- **D - Incorrect:** Fiscal deficit is not the sole external liability measure. Option text: Compare reserves only with fiscal deficit

Examiner trap 19: Do not turn a dated value into a permanent threshold. Focus: which is the strongest reserve-adequacy approach.

MCQ 20

Which pair correctly distinguishes stock and flow?

A. CAD is stock; reserves are flow B. Exports are stock; IIP is flow C. External debt service is stock; debt is flow D. Reserve level is stock; BoP reserve change is a period flow

Answer: D.

Option-wise explanation:

- **A - Incorrect:** CAD is a period flow. Option text: CAD is stock; reserves are flow
- **B - Incorrect:** Exports are flows and IIP is a stock statement. Option text: Exports are stock; IIP is flow
- **C - Incorrect:** Outstanding debt is stock and service is a period payment. Option text: External debt service is stock; debt is flow
- **D - Correct:** This preserves the level-change distinction. Option text: Reserve level is stock; BoP reserve change is a period flow

Examiner trap 20: Separate market movement, official action and balance-sheet effect. Focus: which pair correctly distinguishes stock and flow.

MCQ 21

India formally accepted IMF Article VIII current-account obligations in:

A. August 1994 B. June 2000 C. May 1997 D. January 2021

Answer: A.

Option-wise explanation:

- **A - Correct:** The dated RBI record places acceptance in August 1994. Option text: August 1994
- **B - Incorrect:** June 2000 is FEMA's effective date. Option text: June 2000
- **C - Incorrect:** May 1997 relates to the first Tarapore report. Option text: May 1997
- **D - Incorrect:** January 2021 relates to the revised effective-rate series. Option text: January 2021

Examiner trap 21: Fix residence and account before interpreting the flow. Focus: india formally accepted imf article viii current-account obligations in.

MCQ 22

Under FEMA, a capital-account transaction generally:

A. Never changes assets or liabilities B. Alters specified cross-border assets or liabilities C. Is identical to a current transfer D. Is automatically prohibited

Answer: B.

Option-wise explanation:

- **A - Incorrect:** That is closer to the current-account residual idea. Option text: Never changes assets or liabilities
- **B - Correct:** The asset-liability effect is the statutory distinction. Option text: Alters specified cross-border assets or liabilities
- **C - Incorrect:** Current transfers belong to current-account treatment. Option text: Is identical to a current transfer
- **D - Incorrect:** FEMA regulates and permits categories; it does not ban all capital transactions. Option text: Is automatically prohibited

Examiner trap 22: Preserve sign conventions and the exact statistical category. Focus: under fema, a capital-account transaction generally.

MCQ 23

The impossible trinity says a country cannot fully combine:

A. Fiscal policy, taxation and borrowing B. Exports, imports and remittances C. Fixed rate, free capital mobility and monetary autonomy D. Inflation, growth and employment

Answer: C.

Option-wise explanation:

- **A - Incorrect:** These fiscal instruments are not the open-economy trilemma. Option text: Fiscal policy, taxation and borrowing
- **B - Incorrect:** These are external flows, not policy corners. Option text: Exports, imports and remittances
- **C - Correct:** At most two can be fully sustained together. Option text: Fixed rate, free capital mobility and monetary autonomy
- **D - Incorrect:** This is a policy trade-off but not the impossible trinity. Option text: Inflation, growth and employment

Examiner trap 23: Do not turn a dated value into a permanent threshold. Focus: the impossible trinity says a country cannot fully combine.

MCQ 24

Capital controls can:

A. Remove all currency risk B. Guarantee low inflation C. Make reserves unnecessary D. Moderate some flows while imposing efficiency and uncertainty costs

Answer: D.

Option-wise explanation:

- **A - Incorrect:** Currency risk can persist under controls. Option text: Remove all currency risk
- **B - Incorrect:** Inflation depends on wider monetary and supply conditions. Option text: Guarantee low inflation
- **C - Incorrect:** Reserve insurance can remain useful. Option text: Make reserves unnecessary
- **D - Correct:** Controls trade openness benefits against stability and compliance costs. Option text: Moderate some flows while imposing efficiency and uncertainty costs

Examiner trap 24: Separate market movement, official action and balance-sheet effect. Focus: capital controls can.

MCQ 25

At end-March 2026, India's largest external-debt currency component was:

A. US dollar, but not the entire stock B. Indian rupee at more than half C. Only SDR D. Only yen

Answer: A.

Option-wise explanation:

- **A - Correct:** RBI reported 55.5 percent US-dollar denomination. Option text: US dollar, but not the entire stock
- **B - Incorrect:** Rupee debt was significant at 29.4 percent but not largest. Option text: Indian rupee at more than half
- **C - Incorrect:** SDR-denominated debt was a minority share. Option text: Only SDR
- **D - Incorrect:** Yen debt was also a minority share. Option text: Only yen

Examiner trap 25: Fix residence and account before interpreting the flow. Focus: at end-march 2026, india's largest external-debt currency component was.

MCQ 26

Residual-maturity short-term debt includes:

A. Only trade credit originally below one year B. Original short-term debt plus long-term debt due within twelve months C. All FDI liabilities D. All portfolio equity

Answer: B.

Option-wise explanation:

- **A - Incorrect:** This is too narrow. Option text: Only trade credit originally below one year
- **B - Correct:** This captures near-term repayment pressure. Option text: Original short-term debt plus long-term debt due within twelve months
- **C - Incorrect:** FDI equity is not debt maturity. Option text: All FDI liabilities
- **D - Incorrect:** Portfolio equity has no promised principal maturity. Option text: All portfolio equity

Examiner trap 26: Preserve sign conventions and the exact statistical category. Focus: residual-maturity short-term debt includes.

MCQ 27

Which flow is generally control-linked rather than merely tradable?

A. A short-term portfolio bond B. A bank deposit C. FDI with lasting interest D. A reserve-asset valuation gain

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Portfolio debt lacks equivalent managerial control. Option text: A short-term portfolio bond
- **B - Incorrect:** A deposit is other investment. Option text: A bank deposit
- **C - Correct:** FDI's statistical concept centres on lasting interest and influence. Option text: FDI with lasting interest
- **D - Incorrect:** Valuation gain is not an investment relationship. Option text: A reserve-asset valuation gain

Examiner trap 27: Do not turn a dated value into a permanent threshold. Focus: which flow is generally control-linked rather than merely tradable.

MCQ 28

For an unhedged Indian ECB borrower, rupee depreciation usually:

A. Reduces rupee repayment cost B. Eliminates rollover risk C. Turns debt into FDI D. Raises the rupee cost of servicing foreign-currency debt

Answer: D.

Option-wise explanation:

- **A - Incorrect:** More rupees, not fewer, are needed for foreign currency. Option text: Reduces rupee repayment cost
- **B - Incorrect:** Maturity refinancing risk remains. Option text: Eliminates rollover risk
- **C - Incorrect:** Debt does not change category because of the exchange rate. Option text: Turns debt into FDI
- **D - Correct:** This is the currency-mismatch channel. Option text: Raises the rupee cost of servicing foreign-currency debt

Examiner trap 28: Separate market movement, official action and balance-sheet effect. Focus: for an unhedged indian ecb borrower, rupee depreciation usually.

MCQ 29

The J-curve describes the possibility that after depreciation:

A. Trade balance first worsens before quantity adjustment improves it B. Reserves always double immediately C. Capital controls disappear D. Import prices fall instantly

Answer: A.

Option-wise explanation:

- **A - Correct:** Contract and price effects can precede volume response. Option text: Trade balance first worsens before quantity adjustment improves it
- **B - Incorrect:** No reserve doubling follows mechanically. Option text: Reserves always double immediately
- **C - Incorrect:** The curve concerns trade adjustment, not legal controls. Option text: Capital controls disappear
- **D - Incorrect:** Domestic-currency import prices usually rise. Option text: Import prices fall instantly

Examiner trap 29: Fix residence and account before interpreting the flow. Focus: the j-curve describes the possibility that after depreciation.

MCQ 30

Exchange-rate pass-through refers to:

A. Conversion of debt into equity B. Transmission of currency changes into domestic prices C. Movement from current to capital account D. Publication of NEER weights

Answer: B.

Option-wise explanation:

- **A - Incorrect:** That is a financing transaction. Option text: Conversion of debt into equity
- **B - Correct:** Imported inputs and final goods transmit the currency change. Option text: Transmission of currency changes into domestic prices
- **C - Incorrect:** Account classification does not define pass-through. Option text: Movement from current to capital account
- **D - Incorrect:** Weights are index methodology, not price transmission. Option text: Publication of NEER weights

Examiner trap 30: Preserve sign conventions and the exact statistical category. Focus: exchange-rate pass-through refers to.

MCQ 31

The central lesson of India's 1991 BoP crisis is that:

A. A fixed reserve number is permanently sufficient B. Every CAD causes immediate default C. Liquidity buffers and financing quality must accompany structural adjustment D. Currency depreciation alone solves oil dependence

Answer: C.

Option-wise explanation:

- **A - Incorrect:** Adequacy changes with liabilities and shocks. Option text: A fixed reserve number is permanently sufficient
- **B - Incorrect:** Deficit size alone does not determine crisis. Option text: Every CAD causes immediate default
- **C - Correct:** Emergency liquidity and competitiveness reforms address different horizons. Option text: Liquidity buffers and financing quality must accompany structural adjustment
- **D - Incorrect:** Depreciation can raise the oil-import bill. Option text: Currency depreciation alone solves oil dependence

Examiner trap 31: Do not turn a dated value into a permanent threshold. Focus: the central lesson of india's 1991 bop crisis is that.

MCQ 32

A balanced external-sector policy mix should:

A. Target one permanent exchange rate B. Rely only on reserves C. Ban every capital flow D. Combine flexibility, buffers, hedging, macro stability and competitiveness

Answer: D.

Option-wise explanation:

- **A - Incorrect:** A permanent target conflicts with the stated framework. Option text: Target one permanent exchange rate
- **B - Incorrect:** Reserves cannot replace adjustment. Option text: Rely only on reserves
- **C - Incorrect:** Blanket closure sacrifices financing and risk-sharing benefits. Option text: Ban every capital flow
- **D - Correct:** The combined approach addresses liquidity, balance sheets and real capacity. Option text: Combine flexibility, buffers, hedging, macro stability and competitiveness

Examiner trap 32: Separate market movement, official action and balance-sheet effect. Focus: a balanced external-sector policy mix should.

PYQS AND ANSWER PRACTICE

PYQ SOURCE AND KEY CONTROL

Question wording is retained only where verified against the locally held official 2023 paper or audited exact transcriptions of published UPSC papers. The local corpus does not contain matched final official answer keys for these items; therefore content analysis is supplied without promoting an option letter into an official key.

VERIFIED OBJECTIVE PYQ - 2019 Prelims GS-I, Q63

Question:

Consider the following statements:

1. Most of India's external debt is owed by governmental entities.
2. All of India's external debt is denominated in US dollars.

Which of the statements given above is/are correct? (a) 1 only (b) 2 only (c) Both 1 and 2 (d) Neither 1 nor 2

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: RBI's current debt release confirms the enduring distinctions: non-government debt is substantial, and the stock is denominated in dollars, rupees, yen, SDRs, euros and other currencies. Content analysis rejects both absolutes. No answer letter is promoted here without a matched official final key.

VERIFIED OBJECTIVE PYQ - 2019 Prelims GS-I, Q65

Question:

In the context of India, which of the following factor is/are contributor/contributors to reducing the risk of a currency crisis?

1. The foreign currency earnings of India's IT sector
2. Increasing the government expenditure
3. Remittances from Indians abroad

Select the correct answer using the code given below: (a) 1 only (b) 1 and 3 only (c) 2 only (d) 1, 2 and 3

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: IT services and remittances supply foreign-exchange receipts and support the current account. Higher government expenditure is not inherently an external-risk reducer and can raise imports. This is content analysis; the workbook does not claim an official option letter.

VERIFIED OBJECTIVE PYQ - 2020 Prelims GS-I, Q51

Question:

With reference to Foreign Direct Investment in India, which one of the following is considered its major characteristic? (a) It is the investment through capital instruments essentially in a listed company. (b) It is a largely non-debt creating capital flow. (c) It is the investment which involves debt-servicing. (d) It is the investment made by foreign institutional investors in the secondary market.

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: FDI is control or lasting-interest linked and is generally a non-debt financial flow. Listing and secondary-market institutional trading are portfolio features, while debt servicing characterises borrowing. The conceptual solution is supplied without labelling a letter as an official key.

VERIFIED OBJECTIVE PYQ - 2020 Prelims GS-I, Q49

Question:

If another global financial crisis happens in the near future, which of the following actions/policies are most likely to give some immunity to India?

1. Not depending on short-term foreign borrowings
2. Opening up to more foreign banks
3. Maintaining full capital account convertibility

Select the correct answer using the code given below: (a) 1 only (b) 1 and 2 only (c) 3 only (d) 1, 2 and 3

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: Lower reliance on short-term external borrowing reduces rollover and sudden-stop exposure. More foreign banks and unrestricted capital convertibility do not automatically provide immunity and can add cross-border transmission channels. The content analysis is supplied without claiming an unmatched official option letter.

VERIFIED OBJECTIVE PYQ - 2021 Prelims GS-I, Q7

Question:

Consider the following:

1. Foreign currency convertible bonds
2. Foreign institutional investment with certain conditions
3. Global depository receipts
4. Non-resident external deposits

Which of the above can be included in Foreign Direct Investments? (a) 1, 2 and 3 (b) 3 only (c) 2 and 4 (d) 1 and 4

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: Under the framework tested in the paper, foreign currency convertible bonds, qualifying foreign institutional investment and global depository receipts could be included, whereas non-resident external deposits were deposit liabilities rather than FDI. No option letter is labelled official without the matched final key.

VERIFIED OBJECTIVE PYQ - 2021 Prelims GS-I, Q8

Question:

Consider the following statements: The effect of devaluation of a currency is that it necessarily

1. improves the competitiveness of the domestic exports in the foreign markets
2. increases the foreign value of domestic currency
3. improves the trade balance

Which of the above statements is/are correct? (a) 1 only (b) 1 and 2 (c) 3 only (d) 2 and 3

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: Devaluation lowers the foreign value of domestic currency. It can improve price competitiveness, but trade-balance improvement is not necessary because elasticities, contracts and import dependence matter. The content result is stated without asserting an unmatched official answer letter.

VERIFIED OBJECTIVE PYQ - 2022 Prelims GS-I, Q2

Question:

With reference to the Indian economy, consider the following statements:

1. An increase in Nominal Effective Exchange Rate (NEER) indicates the appreciation of rupee.
2. An increase in the Real Effective Exchange Rate (REER) indicates an improvement in trade competitiveness.
3. An increasing trend in domestic inflation relative to inflation in other countries is likely to cause an increasing divergence between NEER and REER.

Which of the above statements are correct? (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: Under RBI's index convention, a higher NEER indicates nominal appreciation. A higher REER generally indicates real appreciation, which does not automatically improve price competitiveness. Faster domestic inflation can widen the NEER-REER gap. No official letter is claimed here.

VERIFIED OBJECTIVE PYQ - 2022 Prelims GS-I, Q61

Question:

Consider the following statements:

1. Tight monetary policy of the US Federal Reserve could lead to capital flight.
2. Capital flight may increase the interest cost of firms with existing External Commercial Borrowings (ECBs).
3. Devaluation of domestic currency decreases the currency risk associated with ECBs.

Which of the statements given above are correct? (a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: US tightening can redirect capital and raise global funding or refinancing costs. Domestic-currency weakening increases, rather than decreases, the burden of unhedged foreign-currency ECBs. Because the local corpus does not contain a matched official final key, no official answer letter is asserted.

VERIFIED OBJECTIVE PYQ - 2023 Prelims GS-I, Q86

Question:

Consider the following statements: Statement-I: Switzerland is one of the leading exporters of gold in terms of value. Statement-II: Switzerland has the second largest gold reserves in the world.

Which one of the following is correct in respect of the above statements? (a) Both Statement-I and Statement-II are correct and Statement-II is the correct explanation for Statement-I (b) Both Statement-I and Statement-II are correct and Statement-II is not the correct explanation for Statement-I (c) Statement-I is correct but Statement-II is incorrect (d) Statement-I is incorrect but Statement-II is correct

Official-key discipline: The exact question route is preserved. No option letter is presented as an official answer unless a matched final official key is available locally.

Conceptual solution: The locally held official paper verifies this wording. Switzerland's refining and trading role explains export value; it does not imply second place in official monetary-gold holdings. The conceptual distinction is solved, but no final official answer letter is claimed without the official key.

ORIGINAL MAINS PRACTICE WITH MODEL SOLUTIONS

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish the current, capital and financial accounts under BPM6. Answer in 150 words.

Model answer:

The current account records goods, services, primary income and secondary income between residents and non-residents for the period. RBI's BPM6 manual places trade, services, compensation, investment income and personal transfers here. The narrow capital account contains capital transfers and transactions in non-produced non-financial assets.

The financial account records cross-border claims and liabilities through direct investment, portfolio investment, derivatives, other investment, and reserve assets. This matters because older broad Indian presentations sometimes called most financing flows the capital account.

Analysis must preserve statistical vintage. A current-account deficit is financed through financial flows, reserve use and errors or omissions; it is not a financial-account item. The examiner-ready distinction is functional: current production and income, capital transfers and intangible assets, then financial balance-sheet transactions. Historical tables retain their footnoted labels.

Native-body word count: 142 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why is a current-account deficit not automatically a crisis? Answer in 150 words.

Model answer:

A current-account deficit means residents are net borrowers externally during the period; it does not prove insolvency. RBI's preliminary Q1 FY2026-27 release placed India's CAD at USD 4.2 billion, 0.5 percent of GDP, while services and personal transfers offset much of the merchandise deficit.

Risk depends on persistence, import use and financing. Stable control-linked equity and long-maturity hedged debt are safer than volatile portfolio flows, short residual maturity or unhedged foreign-currency borrowing. Reserve adequacy, market access and exchange-rate flexibility also matter.

However, a small CAD can coexist with large refinancing needs, while a moderate deficit can finance productive imports. Test size, composition, financing, maturity, currency, hedging and growth together. Neither every deficit is a crisis nor every surplus shows competitiveness; import compression may reflect weak demand.

Native-body word count: 143 / 150.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain RBI forex intervention, sterilisation and valuation effects. Answer in 250 words.

Model answer:

RBI foreign-exchange intervention changes the supply of foreign currency and domestic rupee liquidity. A dollar sale supplies foreign exchange and ordinarily absorbs rupees; a dollar purchase adds reserves and injects rupees. RBI's Annual Report 2025-26 records operations across onshore and offshore OTC and exchange-traded derivative segments to maintain orderly conditions.

The liquidity consequence can conflict with the monetary-policy stance. Sterilisation uses liquidity operations or securities transactions to offset that unintended injection or absorption. It therefore separates the exchange-market operation from the desired domestic liquidity position. Yet sterilisation has interest, balance-sheet and market costs and cannot permanently defend a rate inconsistent with fundamentals.

Reserve data need a second distinction. RBI's release of 1 September 2026 reported that reserves fell USD 8.1 billion on a BoP basis in Q1 FY2026-27, but the nominal stock fell USD 22.5 billion because valuation produced a USD 14.4 billion loss. Currency movements and gold prices can revalue existing assets without a fresh resident-non-resident transaction.

Thus, a weekly reserve decline cannot be read as the amount of RBI dollar sales. Analysis must separate transaction-driven reserve change, valuation, forward positions, rupee liquidity and sterilising action. Intervention can smooth excessive volatility and disorderly expectations; it cannot substitute for sustainable current-account composition, prudent external borrowing and credible macroeconomic policy.

Native-body word count: 227 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 4 - 15 MARKS

Question: Assess India's forex reserves using composition and adequacy rather than headline size. Answer in 250 words.

Model answer:

India's reserves are monetary-authority external assets, not government budget revenue. RBI's provisional Weekly Statistical Supplement dated 4 September 2026 placed the stock on 28 August at USD 740.803 billion: foreign currency assets were USD 600.670 billion, gold USD 116.409 billion, SDR holdings USD 18.810 billion and the reserve position in the IMF USD 4.914 billion.

Composition matters because the assets differ in liquidity, return and valuation exposure. Foreign currency assets may be denominated across currencies although reported in dollars; gold diversifies but its price fluctuates; SDRs are

IMF reserve assets rather than ordinary currency.

Adequacy must compare this stock with plausible drains. Import cover tests trade-payment capacity, while short-term debt and residual maturity capture rollover pressure. Broad money, gross external financing needs, forward commitments and stress scenarios add capital-flow and confidence dimensions. RBI's end-March 2026 debt release showed original-maturity short-term debt at 19.6 percent of total debt but residual-maturity obligations at 42.9 percent, demonstrating why one ratio is insufficient.

Large reserves support confidence, intervention and emergency payments, yet they carry opportunity and sterilisation costs and cannot remove oil dependence, export concentration or private unhedged debt. The balanced conclusion is insurance plus adjustment: maintain liquid and diversified buffers, monitor maturity and currency mismatches, and strengthen services, exports, remittances and domestic macroeconomic credibility.

Native-body word count: 233 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 5 - 20 MARKS

Question: Why does depreciation not guarantee an immediate improvement in the trade balance? Answer in 250 words.

Model answer:

Depreciation raises the domestic-currency price of foreign exchange. Under an INR-per-USD quote, a higher rate can make exports cheaper to foreign buyers and imports costlier to residents, but this price signal does not ensure an immediate favourable quantity response.

Existing contracts, invoicing currency and delivery schedules delay adjustment. Essential imports such as energy, technology and intermediate inputs may have low short-run demand elasticity, so the import bill can rise before volumes fall. Exporters may lack spare capacity, imported inputs or market access; they may retain the gain as margin rather than cut foreign prices. Domestic inflation and exchange-rate pass-through can also erode the real depreciation.

These lags create the J-curve possibility: the trade balance initially worsens as prices change, then improves only if export and import quantities respond sufficiently. The Marshall-Lerner logic is therefore conditional on elasticities and time. Balance-sheet effects can further weaken demand and investment when firms hold unhedged foreign-currency debt.

Policy should combine exchange flexibility with inflation control, hedging, logistics, reliable power, quality standards, trade finance and diversified export capacity. A real effective exchange-rate indicator can support diagnosis, but it is not a competitiveness target and must be read with productivity and market structure.

Depreciation is thus an adjustment mechanism, not a substitute for structural capability. Its net effect depends on pass-through, import dependence, elasticity, capacity, debt exposure and the response horizon.

Native-body word count: 240 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.

ORIGINAL MAINS 6 - 20 MARKS

Question: Evaluate India's external resilience through BoP composition, debt and policy space. Answer in 250 words.

Model answer:

External resilience is the capacity to finance productive cross-border needs and absorb shocks without disorderly compression. India's Q1 FY2026-27 CAD was USD 4.2 billion, or 0.5 percent of GDP. Net services receipts and personal transfers offset much of the merchandise deficit, but this support remains exposed to global demand and migrant-employment conditions.

Financing quality is mixed. RBI reported net FDI inflow of USD 6.1 billion, FPI outflow of USD 9.6 billion, NRI deposit inflow of USD 2.8 billion and ECB inflow of USD 3.3 billion in the quarter. These flows differ in control, reversibility, maturity and currency risk. End-March 2026 external debt was USD 762.8 billion, 20.8 percent of GDP; residual-maturity short-term debt was 42.9 percent of total debt, making rollover analysis essential.

The reserve stock of USD 740.803 billion on 28 August 2026 provides a substantial liquidity buffer, but weekly stocks mix transactions and valuation. RBI's market-determined exchange-rate policy, reaffirmed on 8 April 2026, preserves flexibility while operations address excessive volatility without a level or band.

Resilience therefore rests on composition and policy credibility, not one headline. India should deepen stable equity, hedge foreign-currency debt, monitor residual maturity, sustain inflation and fiscal credibility, diversify energy and export markets, and preserve adequate liquid reserves. The qualification is central: buffers buy adjustment time; they do not replace competitiveness or prudent balance sheets.

Native-body word count: 246 / 250.

Answer audit: Claim, named evidence, analysis and qualification are preserved.